

risk is especially important because you tend to have the most financial capital at stake and might no longer have your human capital to mine.

Back to Basics: Inflation’s Impact

Table 5.2 illustrates the impact of relatively benign inflation rates over long periods of time. Here is how to read this table: Imagine you are getting a \$1,000 pension income check every single month of your retirement years, but that this check is not adjusted for inflation. What this means is that your nominal income stays at \$1,000, but its real purchasing power declines steadily with time. As you age, the same check buys you less. The table tells exactly how much \$1,000 will buy you in today’s dollars, depending on the value of inflation going forward.

TABLE 5.2 Inflation: What Does a \$1,000 Payment Really Buy You?

Year #	0%	1%	2%	4%
1	\$1,000	\$905	\$820	\$676
15	\$1,000	\$861	\$743	\$555
20	\$1,000	\$820	\$673	\$456
25	\$1,000	\$780	\$610	\$375
30	\$1,000	\$742	\$552	\$308
35	\$1,000	\$706	\$500	\$253

Source: Moshe Milevsky and the IFID Centre, 2008.

Notice that increasing the inflation rate from 2% to 4% per year can erode the purchasing power of \$1,000 by almost 40%, from \$610 to \$375, at the 25-year horizon. I picked 25 years because it is the median remaining lifespan for a newly retired couple, and a 2% to 4% inflation rate is arguably a reasonable aggregate range. During 2007, inflation in the U.S. hit the level of 4%.

Actually, the inflation story gets even more interesting. It seems the U.S. Department of Labor (DoL), via their Bureau of Labor Statistics (BLS) has created an entirely new experimental inflation index